



**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**

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Application of San Diego Gas & Electric
Company (U902E) for Approval of Real Time
Pricing Pilot Rate.

Application No. 21-12-006
(Filed December 13, 2021)

Application of San Diego Gas & Electric
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Electric Vehicle Dynamic Rate.

Application No. 21-12-008
(Filed December 17, 2021)

**OPENING COMMENTS OF THE VEHICLE GRID INTEGRATION
COUNCIL ON PROPOSED DECISION ADOPTING DYNAMIC EXPORT
RATE PILOT AND DISMISSING APPLICATION FOR A REAL TIME
PRICING RATE PILOT**

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PRICING RATE PILOT**

In accordance with Rule 14.3 of the Rules of Practice and Procedure of the California Public Utilities Commission (“Commission”), the Vehicle-Grid Integration Council (“VGIC”) hereby submits these Opening Comments on the Proposed Decision Adopting Dynamic Export Rate Pilot and Dismissing Application for a Real-Time Pricing Rate Pilot (“PD”), issued in Application (“A.”) 20-10-011 on September 25, 2023.

I. INTRODUCTION

VGIC appreciates the efforts of the Commission, Energy Division (“ED”) staff, and all stakeholders in working toward a dynamic export rate pilot that is open to some San Diego Gas & Electric Company’s (“SDG&E”) electric vehicle (“EV”) customers. While VGIC generally supports dynamic export rates for EV customers, the rate design that the PD would adopt does not

represent a meaningful step toward California’s affordability and decarbonization goals. VGIC emphasizes, as detailed throughout this proceeding by VGIC and the Environmental Defense Fund (“EDF”), that the incomplete rate design, namely the lack of a distribution component, is highly unlikely to incentivize customer participation. With this in mind, VGIC recommends the Commission consider either of the two alternatives detailed in these comments and summarized below:

- VGIC respectfully urges the Commission to revise the PD to direct SDG&E to adopt a dynamic distribution component that leverages SDG&E’s currently implemented D-CPP methodology.
- At a minimum, VGIC recommends the Commission reopen the record of this proceeding to solicit additional evidence from SDG&E and other parties demonstrating the fundamental participant economics for the proposed dynamic export rate.

II. VGIC URGES THE COMMISSION TO REVISE THE PD TO DIRECT SDG&E TO ADOPT A DYNAMIC DISTRIBUTION COMPONENT THAT LEVERAGES SDG&E’S CURRENTLY IMPLEMENTED D-CPP METHODOLOGY.

As noted throughout this proceeding, VGIC expects no customer participation from vehicle-to-grid (“V2G”) resources based on the proposed export rate design.¹ VGIC acknowledges that Electrify America’s status as a settling party indicates there may be some customer participation in the export pilot, as detailed in the PD.² This *indicates* participation from storage-backed unidirectional charging facilities; however, that participation is by no means *guaranteed*.

¹ See, for example, VGIC-01, pg 28; VGIC-02, pg 9; EDF-01, pg 2; EDF-02, pg 2; VGIC Opening Brief, pg 7; VGIC Reply Brief, pg 3; EDF Opening Brief, pg 6; EDF Reply Brief, pg 2; VGIC Response to Reply Briefs, pg 2.

² PD at 17.

Moreover, the V2G export use case – which is a separate set of participants with separate costs and benefits – remains unsupported by the limited nature of the settlement rate design.

As highlighted by both VGIC and EDF throughout this proceeding, a distribution component, in addition to the proposed marginal energy and generation capacity components, is needed to establish a compelling rate for customers.

VGIC reiterates that the distribution component need not be designed from scratch. SDG&E has already developed and implemented a Distribution Critical Peak Pricing (D-CPP) adder in Schedules VGI and Public GIR. VGIC recognizes that SDG&E has concerns over the feasibility of scaling its circuit-specific adder methodology (i.e., as used in Schedule VGI) in a pilot with no customer enrollment cap. However, the alternative offered by the PD would lead to the adoption of a rate that does not allow customers to offset the significant upfront and ongoing costs needed to enable EV export in this pilot.

Additionally, SDG&E's proposed export pilot is severely out of step with the Commission's CalFUSE vision and the *Rate Design and Demand Flexibility Design Principles* adopted in D.23-04-040. The PD would, therefore, not only adopt a rate design misaligned with the Commission's efforts to promote EV exports but also ignore the opportunity to leverage SDG&E's existing rate design methodology that's been proposed, Commission-approved, and implemented three times (i.e., Power Your Drive VGI Pilot Rate, Power Your Drive Extension VGI Pilot Rate, and Schedule Public Grid Integration Rate).

Notably, Pacific Gas and Electric Company ("PG&E") recently proposed significantly expanding their dynamic import and export rates to include a distribution component in recognition

of the need to unlock V2G exports to support the evolving electrical grid, including growing distribution constraints.³

With this in mind, VGIC reiterates its concern about establishing a pilot that will not attract customers and is fundamentally out of step with other Commission efforts to promote V2G and dynamic export rates. VGIC believes the PD should be modified to represent a serious proposal – a rate design that includes a distribution component to offer a more fair and complete export rate – to promote EV exports.

III. AT A MINIMUM, VGIC RECOMMENDS THE COMMISSION REOPEN THE RECORD OF THIS PROCEEDING TO SOLICIT ADDITIONAL EVIDENCE FROM SDG&E AND OTHER PARTIES DEMONSTRATING THE FUNDAMENTAL PARTICIPANT ECONOMICS FOR THE PROPOSED DYNAMIC EXPORT RATE.

If the PD is not modified as recommended above, VGIC respectfully urges the Commission to, at a minimum, reopen the record of this proceeding to solicit additional evidence from SDG&E and other parties demonstrating the fundamental participant economics for the proposed dynamic export rate. VGIC does not believe that SDG&E and settling parties have produced sufficient evidence demonstrating that the proposed export rate described in the settlement agreement would provide customers with net benefit over the two-year pilot period. For example, customers participating using V2G chargers would be required to make significant upfront investments to enable pilot enrolment. Notably, SDG&E's previously Commission-approved V2G demonstrations have yielded important cost data for V2G equipment planning, procurement,

³ Submission of Gridx, Inc., Polaris Energy Services, Gridtractor, Inc., and Pacific Gas and Electric Company's Comments and Responses to the Administrative Law Judge's Ruling on Track B Staff Proposal to Expand Existing Pilots. September 25, 2023. <https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M520/K482/520482482.PDF>

installation, and maintenance. However, based on VGIC’s assessment, SDG&E and settling parties have not considered, cited, or estimated these costs and the need to offset them over the two-year pilot period.

VGIC believes that establishing a pilot that has not been assessed for whether customers will find it worthwhile to participate may be an imprudent use of ratepayer funds and, in the case of SDG&E’s proposed dynamic export rate, may only delay and obfuscate the critical goals established by Senate Bill 676 and envisioned in D.20-12-029 (“the VGI Strategies Decision”).

IV. CONCLUSION

VGIC appreciates the opportunity to submit these opening comments on the proposed decision adopting SDG&E’s proposed dynamic export rate pilot. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

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